



ROWAD
MODERN ENGINEERING

Client Invoicing Process

P-OP-06

Prepared by:

Takky El-Din Nasser
Technical Affairs Manager

Yasser Zohny
TA & Deputy Operation Manager

Ahmed Gamal
Contracts & Claims Manager

Rabie El Akkad
MEP Manager

Sameh El Herazy
Quality Control Manager

Mahmoud Mahlab
Operation Manager

Reviewed by:

Ahmed Shafik
CFO

Dec, 2021

Reviewed by:

Mohamed Ragab
COO

Approved by:

Mohamed Mahlab
CEO

	Client Invoicing Process		
	Effective Date: Dec 2021	Rev. No.: 00	Doc. No.: P-OP-06

1. OBJECTIVES

The objective of this process is to describe the workflow for the client invoice process in RME.

2. STAKEHOLDER

- Contracts department
- Operation department
- Site Technical Office
- Quality Control
- Finance department

3. LIABLE STAKEHOLDER

- Contracts department
- Operation department
- Site Technical Office
- Quality Control
- CM
- PM
- Finance department

4. TERMS AND DEFINITION

- Site Technical Office: Including the technical office on-site, whether civil, architecture, or MEP
- MoS: Material on Site
- VO: Variation Order
- IPC: Interim Payment Certificate
- IR: Inspection Request
- MIR: Material Inspection Request
- RoC: Rules of Credit
- Agreed Progress Percentage: Progress addressed by CM and reviewed by the Engineer/Client representative (If review before the submission is applicable).
- PM; Project Manager
- CM: Construction Manager

	Client Invoicing Process		
	Effective Date: Dec 2021	Rev. No.: 00	Doc. No.: P-OP-06

- DLP: Defect Liability Period

5. RELATED DOCUMENTED INFORMATION

- Internal IPC, F-P-OP-06-01
- Internal IPC A, F-P-OP-06-02
- Internal IPC B, F-P-OP-06-03
- Internal IPC B, F-P-OP-06-04
- Internal IPC B, F-P-OP-06-05
- Final Interim Payment Certificate, F-P-OP-06-06
- Contract Summary
- External Sheet Breakdown (ROC)
- QS
- IR, F-PQP-01-05
- MIR, F-PQP-01-17
- Letter, F-P-QD-06-04
- Guidance Price List

6. PROCESS DETAILS

6.1 PROCESS INPUT

- BOQ
- Contract

6.2 Process Operations

Sr.	Process Cycle Description	Responsibility	Form
Private Client Invoice			
1	Contracts department shall send the contract summary to Operation and Finance department to utilise it as a guide for drafting the client invoice upon first submission.	Contracts	Contract Summary
2	Site Technical Office shall issue a draft invoice (IPC), upon the following:	Site Technical Office	IPC F-P-OP-06-01

	Client Invoicing Process		
	Effective Date: Dec 2021	Rev. No.: 00	Doc. No.: P-OP-06

	- Matching BOQ stamped hardcopy with BOQ softcopy (Description, quantity, rates & total amounts) - Summary sheets to be divided into Civil, Arch, MEP, VO, MoS & escalation form (if applicable) - Payment Certificate TOM shall send the draft invoice to Operation dept for review, comments & approval.	Operation	
3	Operation dept shall send the first submission of IPC to Finance & Contracts dept for review and confirmation.	Operation Finance Contracts	IPC F-P-OP-06-01
4	Site Technical Office sends draft invoice (IPC) to Client for review and comments on the template.	Site Technical Office	IPC F-P-OP-06-01
5	Site Technical Office prepares work breakdown (WBS) for BOQ items on every division before activity commencement for client review & comments to reflect the ROC. To be sent to Operation dept for review and approval.	Site Technical Office Operation	External Sheet Breakdown
6	Site Technical Office shall determine the work cutoff date on the 25th of each month, and the submission dates with Client to be from 1st to 5th day of next month. In case the Client has special conditions, RME shall follow them. The work cutoff date and submission dates shall be reviewed and approved by Operation dept (If applicable for direct award cases).	Site Technical Office Operation	
7	By the cutoff date of the work, CM will mention the progress on BOQ items, as per received executed and approved IRs, MIRs, and closed NCRs within the mentioned period. An internal meeting will be held between TOM, CM, and QCM prior to issuing the current monthly invoice for confirming the amount and trying to maximize the total amount.	CM TOM QCM	

	Client Invoicing Process		
	Effective Date: Dec 2021	Rev. No.: 00	Doc. No.: P-OP-06

8	Site Technical Office shall prepare the invoice attached the supporting documents such as: - Approved QS - IRs - MIRs - Agreed Progress Percentage	Site Technical Office	QS IR F-PQP-01-05 MIRs F-PQP-01-17
9	PM shall review and approve the IPC with a cover letter before submitting it to Client.	PM	Letter Template F-P-QD-06-04
10	Site Technical Office shall submit a clean copy after Client negotiation and approval to Finance and operation dept.	Site Technical Office	
11	PM and Operation dept shall Follow IPC payment release according to contract clauses with Finance dept. In case of payment release delay, PM to send a notification to Contracts to submit a letter to the client, if applicable. (If applicable for direct award cases)	PM Operation Finance Contracts	
12	Once the invoice amount is collected, Finance dept shall review the received amount vs the submitted amount/clean copy if applicable, then report the status of collection to Operation department.	Finance	
Direct Award Client Invoice			
13	<u>Public Sector (Government)</u> Operation dept shall prepare revised BOQ in assist of site technical office and departments' stakeholders based on preliminary received BOQ or any client's reference, then sent it to the Client to issue the contract later.	Operation Site Technical Office Departments Stakeholders	
14	Site Technical Office shall issue a draft invoice (IPC), upon the following:	Site Technical Office	Internal IPC F-P-OP-06-02 F-P-OP-06-03

	Client Invoicing Process		
	Effective Date: Dec 2021	Rev. No.: 00	Doc. No.: P-OP-06

	- Matching BOQ stamped hardcopy with BOQ softcopy (Description, quantity, rates & total amounts) - Summary sheets to be divided into Civil, Arch, MEP, VO, MOS & escalation form (if applicable) - Payment Certificate TOM shall send the draft invoice to Operation dept for review, comments & approval within 1 day.	Operation TOM	F-P-OP-06-04 F-P-OP-06-05
15	Operation dept shall send the first submission of IPC to Finance for review and confirmation, within 24 hrs.	Operation Finance	Internal IPC F-P-OP-06-02 F-P-OP-06-03 F-P-OP-06-04 F-P-OP-06-05
16	Follow the above-mentioned steps (5 – 10)		
17	PM and finance department shall Follow IPC payment release according to contract clauses.	PM Finance	
18	Once the invoice amount is collected, Finance dept shall review the received amount vs the submitted amount / clean copy if applicable, then report the status of collection to operation department.	Finance	
19	<u>Projects with neither Contracts nor BOQ</u> Operation department shall prepare revised BOQ with assist of site technical office and departments' stakeholders based on preliminary received BOQ or any client's reference.	Operation Site technical office departments' stakeholders	
20	Site technical office prepares internal invoice and forward to operation department for comments.	Site technical office Operation	Internal IPC F-P-OP-06-02 F-P-OP-06-03 F-P-OP-06-04 F-P-OP-06-05
21	Operation dept after review will send it to finance and cost control for information.	Operation	

	Client Invoicing Process		
	Effective Date: Dec 2021	Rev. No.: 00	Doc. No.: P-OP-06

22	In case of down payment received by any concerned department, other departments to be informed.	any concerned department	
Final interim payment certificate (After TOC)			
23	Upon TOC issuance, a priced snag list/outstanding work is included in the TOC and the site technical office shall prepare the final interim payment certificate accordingly, along with the required attachments.	Site technical office	Final interim payment certificate F-P-OP-06-06 F-P-OP-06-02 F-P-OP-06-03 F-P-OP-06-04 F-P-OP-06-05
24	Site technical office shall send the final interim payment certificate to operation dept for approval and a copy to Contracts & finance dept for review and comments, if any.	Site technical office Operation Contracts Finance	
Final payment certificate (After warranty period)			
25	After the completion of the defect liability period and signed release letter, the site technical office shall prepare the final payment certificate reflecting any existing claims and/or any variation had been awarded within the DLP period.	Site technical office	Final payment certificate F-P-OP-06-06 F-P-OP-06-02 F-P-OP-06-03 F-P-OP-06-04 F-P-OP-06-05
26	Site technical office shall send the final payment certificate to operation & Contracts dept for approval and a copy to & finance dept for review and comments (if any).	Site technical office Operation Contracts Finance	

	Client Invoicing Process		
	Effective Date: Dec 2021	Rev. No.: 00	Doc. No.: P-OP-06

6.3 PROCESS OUTPUT

- Client invoice

7. PROCESS RISK ASSESMENT

Included in the risk register form No. F-P-QD-05-01 “Risk identification and assessment” maintained by the HoD, along with the action plan to address risks and opportunities”.

8. PROCESS CONTROL

- Supporting documents such as;
 - o Approved IRs
 - o Approved MIRs
 - o Agreed percentage progress
 - o Approved QS

9. PERFORMANCE MEASURES

- Review the submitted payment amount versus the approved amount.
- Time for submission.

10. DOCUMENT CHANGE HISTORY

No.	Revision Level	Description of Changes	Effective Date
1	All	<i>New issue</i>	Dec, 2021

ROWAD
MODERN ENGINEERING